

SENATE No. 2832

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

SENATE, December 11, 2025.

The committee on Housing to whom was referred the petition (accompanied by bill, Senate, No. 989) of Paul R. Feeney for legislation to establish the missing-middle starter home development and home ownership program, report the accompanying bill (Senate, No. 2832).

For the committee,
Julian Cyr

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**In the One Hundred and Ninety-Fourth General Court
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An Act establishing the missing-middle starter home development and home ownership program.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 10 of the General Laws is hereby amended by inserting after
2 section 35AA the following section :-

3 Section 35AA½. Starter Home Development Trust Fund.

4 (a) There shall be established and set up on the books of the commonwealth a separate
5 fund to be known as the Starter Home Development Trust Fund to be used, without further
6 appropriation, by the executive office of housing and livable communities.

7 (b) There shall be credited to the fund revenue from appropriations or other monies
8 authorized by the general court and specifically designated to be credited to the fund and gifts,
9 grants, private contributions, repayment of loans, investment income earned on the fund's assets
10 and all other sources. Money remaining in the fund at the end of a fiscal year shall not revert to
11 the General Fund.

(c) Amounts credited to the fund shall be expended on financial assistance for new construction or acquisition and substantial rehabilitation of owner-occupied starter homes for the benefit of households whose incomes are between 80 per cent and 120 per cent of area median income as determined by the United States Department of Housing and Urban Development. Amounts credited to the fund may be expended in partnership with the Massachusetts Housing Finance Agency to expand the Commonwealth Builder Program to all municipalities in the commonwealth. Priority consideration shall be given for projects sited and developed in a starter home zoning district as defined in section 1 of Chapter 40Y.

(d) The secretary of the executive office of housing and livable communities may establish an advisory council and make appointments to such advisory council to make policy recommendations regarding the fund's activities and expenditures.

(e) Annually, not later than January 15, the executive office shall report to the clerks of the house of representatives and the senate, the house and senate committee on ways and means and the joint committee on housing on the fund's activity. The report shall include, but not be limited to: (1) money received by the fund; (2) anticipated amounts to be deposited into the fund for the forthcoming fiscal year; (3) projections for expenditures in the forthcoming fiscal year; (4) details of all expenditures from the fund; and (5) total housing units created by the fund.

SECTION 2. The executive office of housing and livable communities shall promulgate regulations pursuant to section 35AA ½ of chapter 10, as established by section 1 of this act, by December 31, 2027. Said regulations shall include, but not be limited to, application and selection criteria for projects financed under the fund, a process by which funds may be made

- 33 available to developers and the amount of financial assistance available per unit of new housing
- 34 created.